

premise that these stocks were efficiently priced at all of the prices between their highs and lows seemed implausible to me. When I read Graham, I thought to myself, *That is so logical; stocks fluctuate around fair value over time.*

Did you have any interest in the market before that point?

I had an interest in horse racing and dog racing more than in the stock market.

Did you go to the track?

I went to the track when I could get in, usually the dog track because they weren't very stern about keeping you from sneaking in.

Did you have any methodology in betting?

Unfortunately, I didn't. I'll never forget my first big bet. One time, I went to the track with my cousin, and I found a dog who had run 12 seconds faster than all the other dogs but, for some inexplicable reason, the odds against him were 99 to 1. That seemed like a great bet to me. I didn't know why the other gamblers were so stupid. The dog finished dead last. After the race, I found out that the dog had run 12 seconds faster at a much shorter distance and that this was his first time running a longer distance. That experience taught me a quick lesson that I had to do more research.

When did you first start investing in stocks?

After I read about Ben Graham and before going off to law school, I started a fund buying what Graham called *net nets*, stocks trading below their liquidation value. I did a study on stocks selling below their liquidation value, which eventually turned into my master's thesis. I worked with two of my friends from business school, Richard Pzena and Bruce Newberg. We didn't have money for a database. The university library had the S&P stock guides for the past 10 years or so. We manually collected the data from the guides. We only looked at about 15 percent of the stock universe because it was pretty mind numbing getting the data by hand. At the time, the University of Pennsylvania had a DEC10 computer, which was about four times the size of this room, and probably had less power than today's smart phone. Richard was pretty good with